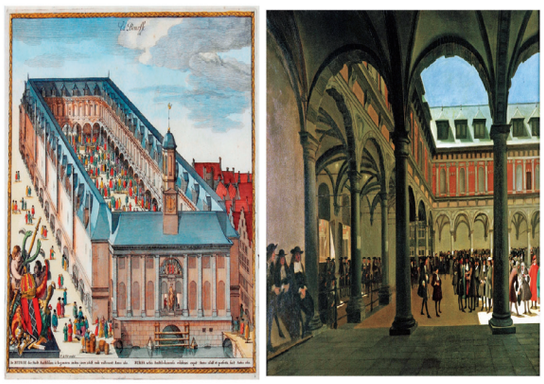
Stock exchanges and organized market provide a place for the investors to buy and sell securities freely. The market offers perfectly competitive conditions where a large number of sellers and buyers participate. Further, stock exchanges provide an auction market in which members of the exchange participate to ensure continuity of price and liquidity to investors.

The efficient functioning of the stock exchange is responsible for creating a conductive climate for an active and growing primary market for new issues. Moreover, an active and a healthy secondary market in existing securities leads to a better psychology of expectations, considerably broadening the investment enquiries and thereby, rendering the task of raising resources by entrepreneurs easier. Good performance and outlook for equities in the stock exchanges imparts buoyancy to the new issue market.

7.01 Stock Exchange – Origin, Meaning, Definition

Origin



Amsterdam Stock Exchange is considered as the oldest stock exchange in the world. It was established in the year 1602 by Dutch East India company called VerenigdeOost-IndischeCompagnie called 'VOC'. It was later rechristended as "Amsterdam Bourse". The first stock exchange in India was"The Native Shares and Stock Brokers Association". It was recognized by Government of India on Aug 31, 1957 under Securities Contract (Regulation) Act, 1956. It became The Bombay Stock Exchange subsequently.

Meaning

Stock Exchange (also called Stock Market or Share Market) is one of the important constituents of Capital market. Stock Exchange is an organized market for the purchase and sale of industrial and financial security. It is a convenient place where trading in securities is conducted in a systematic manner i.e. as per certain rules and regulations. It performs various functions and offers useful services to investors and borrowing companies. It is an investment intermediary and facilitates economic and industrial development of a country.

Stock exchange is an organized market for buying and selling corporate and other securities. Here, securities are purchased and sold out as per certain well-defined rules and regulations. It provides a convenient and secured mechanism or platform for transactions in different securities. Such securities include shares and debentures issued by public companies which are duly listed at the stock exchange, and bonds and debentures issued by government, public corporations and municipal and port trust bodies.

Stock exchanges are indispensable for the smooth and orderly functioning of corporate sector in a free market economy. A stock exchange need not be treated as a place for speculation or a gambling den. It should act as a place for safe and profitable investment, for this, effective control on the working of stock exchange is necessary. This will avoid misuse of this platform for excessive speculation, scams and other undesirable and anti-social activities.

12th Commerce Unit 3.indd 45 09-12-2021 1.23.26 PM